

GST REGISTRATION — COMPLIANCE OVERVIEW

This document provides a general overview of Goods and Services Tax (GST) registration requirements for small businesses and startups in India. This is general informational content, not professional tax advice.

1. What is GST

Goods and Services Tax (GST) is an indirect tax levied on the supply of goods and services in India, implemented from July 1, 2017. It subsumed multiple earlier indirect taxes such as VAT, Service Tax, and Excise Duty into a single unified tax structure.

2. Who Needs to Register

Businesses with an annual aggregate turnover exceeding INR 40 lakh (INR 20 lakh for special category states) for goods, or INR 20 lakh (INR 10 lakh for special category states) for services, are required to register for GST.

Businesses making inter-state supplies, e-commerce operators, and casual taxable persons must register regardless of turnover.

Voluntary registration is also permitted for businesses below the threshold, which can help with input tax credit claims and building business credibility.

3. Documents Required for GST Registration

- PAN Card of the business/proprietor
- Aadhaar Card of the proprietor/partners/directors
- Proof of business registration (Partnership Deed, Certificate of Incorporation, etc.)
- Address proof of the place of business (electricity bill, rent agreement, NOC from owner)
- Bank account statement or cancelled cheque
- Digital Signature Certificate (for companies and LLPs)
- Passport-size photograph of the applicant

4. Registration Process

- Visit the GST portal (gst.gov.in) and complete Part A of Form GST REG-01 with PAN, mobile number, and email.
- Upon OTP verification, a Temporary Reference Number (TRN) is generated.
- Complete Part B of the form using the TRN, uploading required documents.
- An Application Reference Number (ARN) is issued after submission.
- The GST officer reviews the application; if approved, a GST Identification Number (GSTIN) is issued, typically within 7 working days.

5. GST Return Filing

Registered businesses must file periodic GST returns (monthly/quarterly depending on turnover and scheme), including GSTR-1 (outward supplies) and GSTR-3B (summary return with tax payment).

Businesses under the Composition Scheme (turnover up to INR 1.5 crore for goods) file simplified quarterly returns at lower tax rates but cannot claim input tax credit.

6. Penalties for Non-Compliance

Failure to register when required attracts a penalty of 10% of the tax due (minimum INR 10,000), or 100% of tax due in cases of deliberate evasion.

Late filing of returns attracts late fees per day of delay, subject to a maximum cap, along with interest on outstanding tax liability.